Economics - Undergraduate Level Assessment 6 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. What is the chief reason why farm policy was notconceived assimply part of an overall income distribution policy?
   (a) Geographic diversity of farming regions
   (b) Environmental concerns
   (c) Consumer preference for organic produce
   (d) Lack of funding
   (e) Technological advancements in agriculture
2. What is credit?
   (a) The ability to buy goods and services
   (b) A financial instrument that represents ownership in a company
   (c) A system where goods and services are exchanged for commodities
   (d) A government-issued bond or security
   (e) A method of payment
3. Which of the following is most likely to be true in the long run for a monopoly firm?
   (a) $P = ATC > MR = MC$
   (b) $P = ATC = MR > MC$
   (c) $P > MR = MC = ATC$
   (d) $P = MR = MC > ATC$
   (e) $P = MR > MC = ATC$
4. What will happen to transfer earnings and economic rent if landhas only a single use?
   (a) The price of the land is entirely made up of transfer earnings.
   (b) Economic rent remains constant while transfer earnings fluctuate with market demands.
   (c) Transfer earnings are zero and the price of the land is entirely made up of economic rent.
   (d) Both transfer earnings and economic rent increase proportionally.
   (e) Transfer earnings and economic rent vary inversely; as one increases, the other decreases.
5. Why is the danger inherent in the issuance of fiat money?

(a) It is often used to meet emergencies.

(b) Its quantity is controlled by the government rather than by market forces.

(c) It is backed by a physical commodity like gold or silver.

(d) It encourages the accumulation of debt through interest-free loans.

(e) It is used for buying military supplies during a war.

True / False (10 marks)

Answer True or False

6. True or False: The value of the dollar will tend to depreciate when demand for exports increases while preferences for foreign goods diminish.

7. True or False: Capitalism restricts freedom of choice by imposing regulations that limit consumer options.

8. True or False: A monopsony pays less for inputs compared to a competitive input market while hiring more of those inputs.

9. True or False: In a transition from a monopsony to a perfectly competitive labor market, both wages and employment would increase.

10. True or False: Economic policy implementation does not involve any significant time-lags affecting its overall effectiveness in the economy.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how the purchase of a Chinese-manufactured entertainment system by an American consumer affects U.S. national income accounts, focusing on net exports and GDP.

12. Discuss the key differences between monopoly and monopsony, analyzing their implications on market dynamics and consumer welfare in an economy.

End of Paper